

Offering Memorandum



Cibolo Land – 288-Unit Multifamily Development Opportunity
FM 1130 • Cibolo, TX 78108

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INVESTMENT OVERVIEW

The Offering

Property	Cibolo Land – 288-Unit Multifamily Development Opportunity
Address	FM 1103, Cibolo, TX, 78108
Price	\$4,500,000
Parcels	2
Zoning	MF-2
Type of Ownership	Fee Simple
Number of Units	288
Price/Unit	\$15,625
Lot Size (SF)	754,568
Price/SF	\$5.96
Lot Size (AC)	17.3225
Price/AC	\$259,778
Density	16.63 Units/AC



Taxes (2018 Rates)

City of Cibolo (CCI)	0.467400
Guadalupe County (GCO)	0.330900
Lateral Road (LTR)	0.051000
Schertz-Cibolo-U.C. ISD (SCS)	1.490000
Total Tax Rate	2.339300

Cibolo Land – 288-Unit Multifamily Development Opportunity

Marcus and Millichap has been retained as the exclusive advisor to market for sale a 288-unit apartment development located in Cibolo, Texas. Cibolo is a city in Guadalupe and Bexar counties, Texas, and is part of the San Antonio–New Braunfels Metropolitan Statistical Area. Cibolo has experienced high levels of growth, increasing 733 percent since 2000, when the population was 3,035 people. Between 2000 and 2010, the population increased 545 percent to 19,580 people. As Cibolo has grown, its share of the county population has also increased. By the mid-2010s, Cibolo was one of the fastest growing small cities in the United States, experiencing a nearly 900% increase in population since 2000 and growing from 3,000 to the current estimate of about 30,000 residents.

The subject property contains two parcels ready for development, one parcel is 14.101 acres, with the second parcel 3.2215 acres. The parcels sit adjacent to Byron P. Steele high school and enjoy easy access to FM 1103 and IH 35. The median home value in Cibolo is \$244,700. Cibolo home values have gone up 7.5% over the past year and Zillow predicts they will rise 1.9% within the next year. The median list price per square foot in Cibolo is \$118, which is lower than the San Antonio-New Braunfels Metro average of \$127. The median price of homes currently listed in Cibolo is \$275,000. The median rent price (sfr) in Cibolo is \$1,525, which is higher than the San Antonio-New Braunfels Metro median of \$1,349.

A substantial amount of site work and soft costs for the development have been completed and are included with the sale. Please see confidentiality agreement for further details.

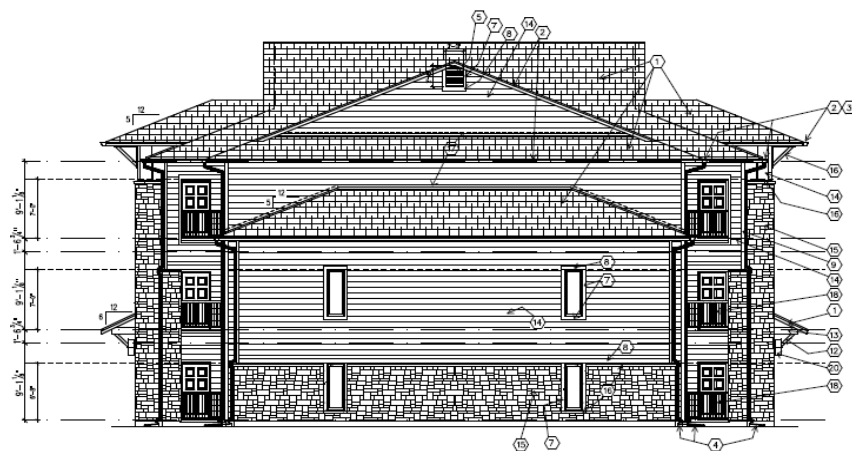




FRONT ELEVATION - BUILDING TYPE II

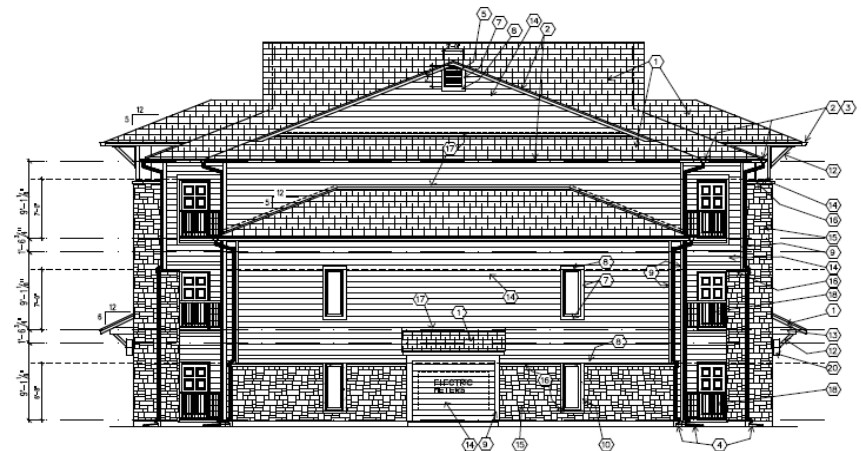
BUILDING TYPE II-h SIMILAR

SCALE : 1/8" = 1'-0"



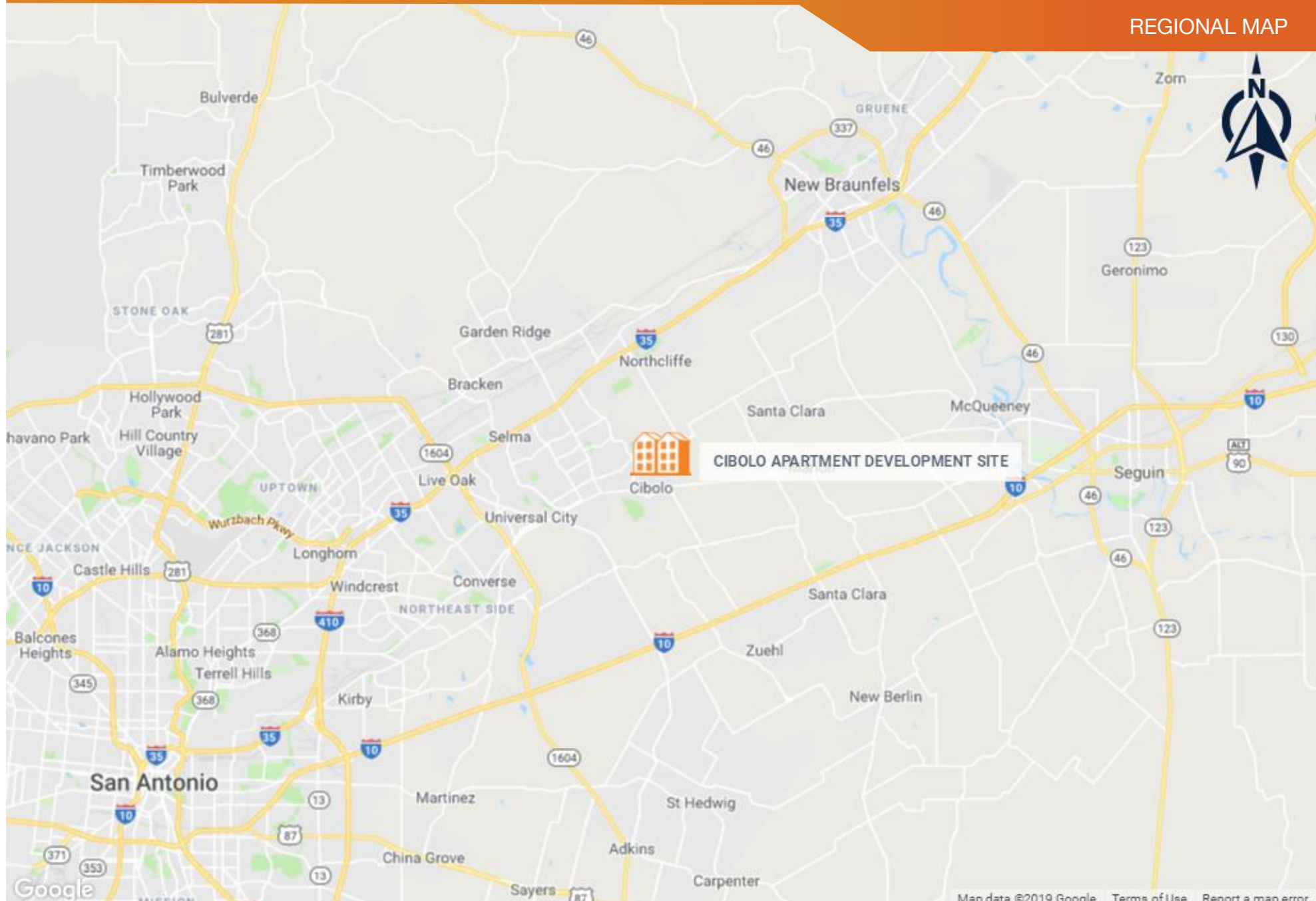
END ELEVATION - BUILDING TYPE II

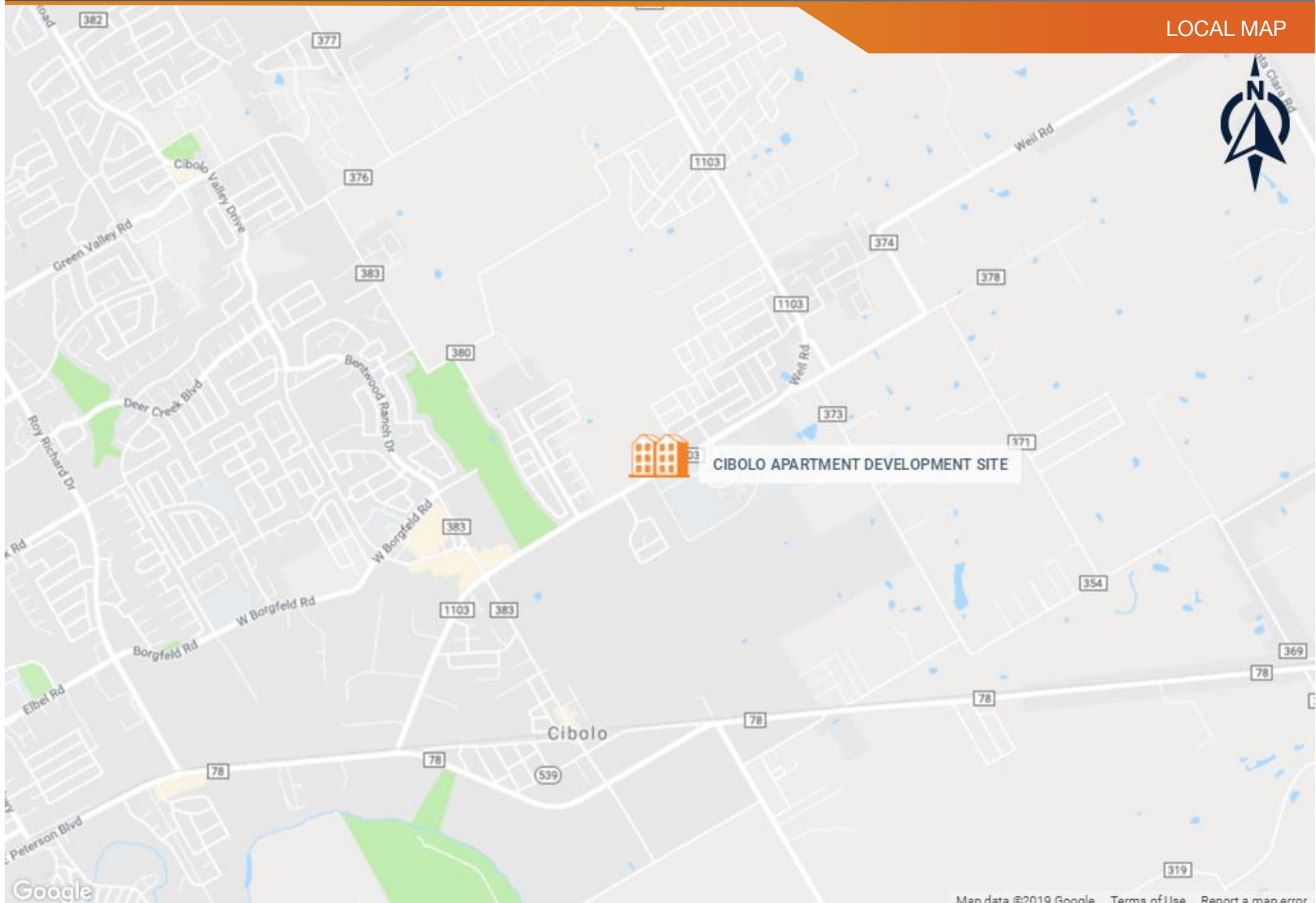
SCALE : 1/8" = 1'-0"



END ELEVATION - BUILDING TYPE II ELECTRIC METERS

SCALE : 1/8" = 1'-0"





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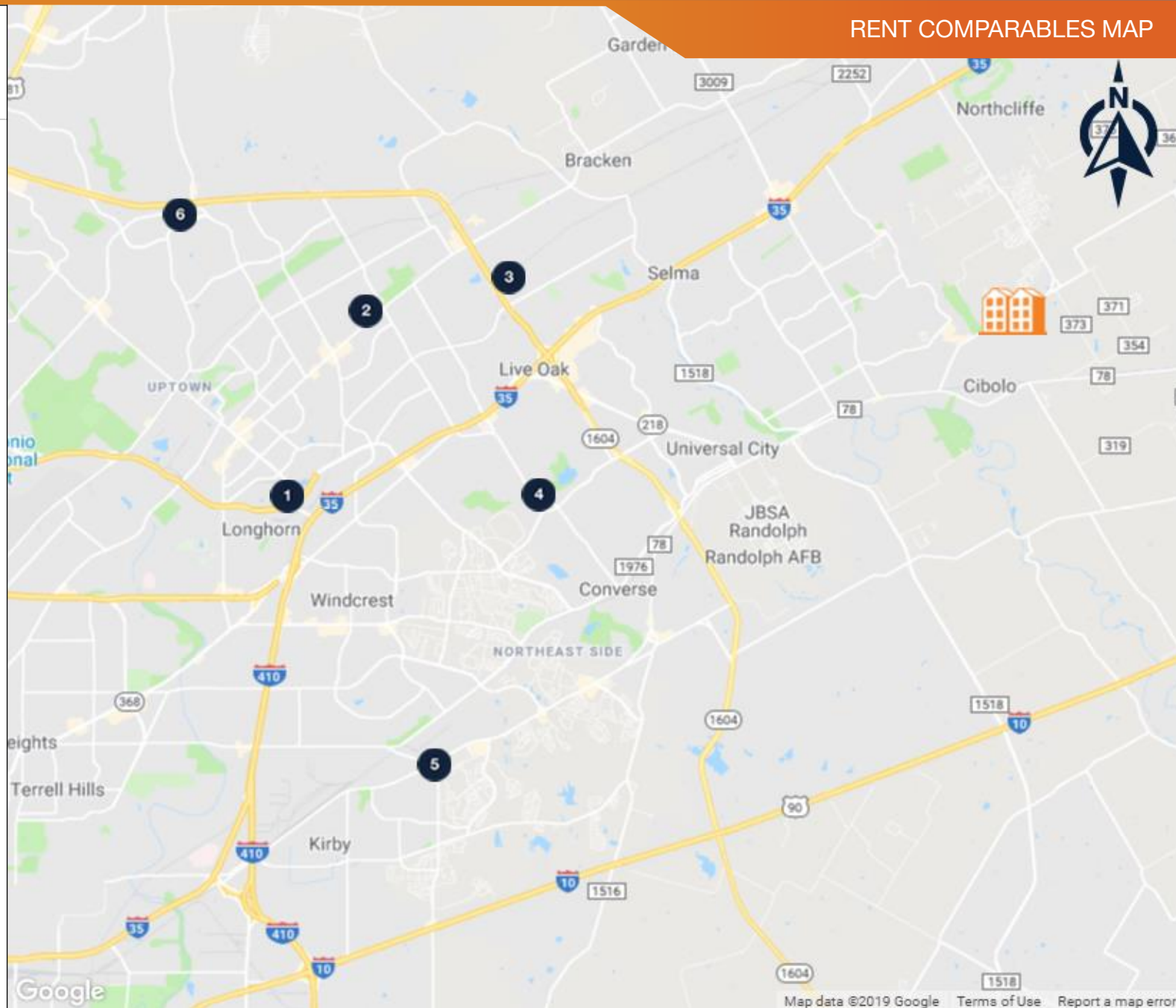
MARKET
COMPARABLES



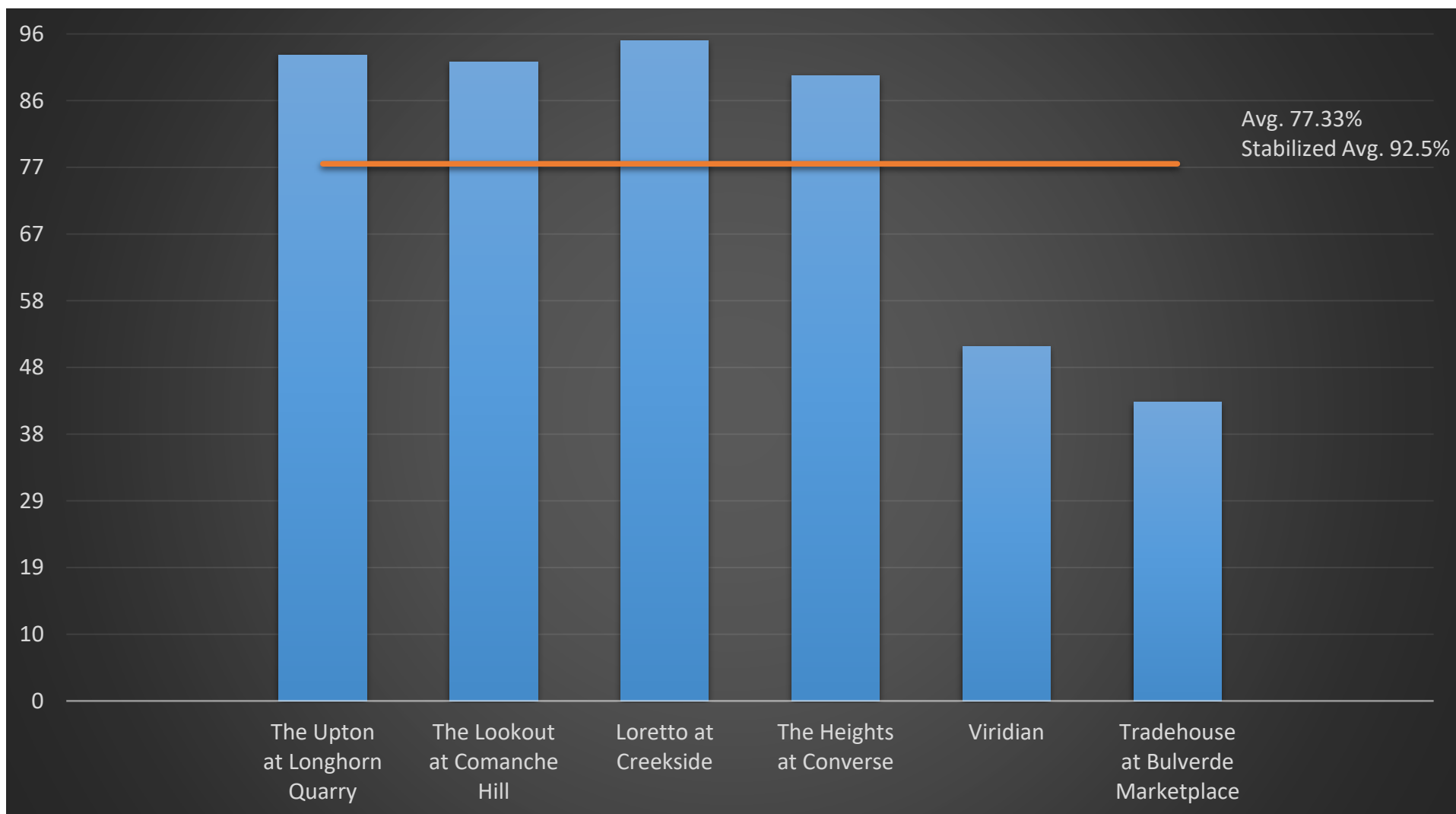
CIBOLO APARTMENT DEVELOPMENT SITE (SUBJECT)

- 1 The Upton at Longhorn Quarry
- 2 The Lookout at Comanche Hill
- 3 Loretto at Creekside
- 4 The Heights at Converse
- 5 Viridian
- 6 Tradehouse at Bulverde Marketplace

RENT COMPARABLES MAP

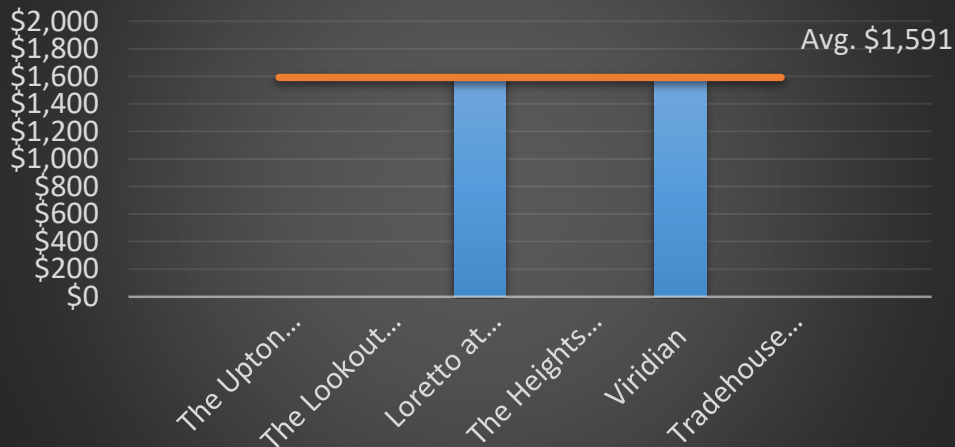


AVERAGE OCCUPANCY

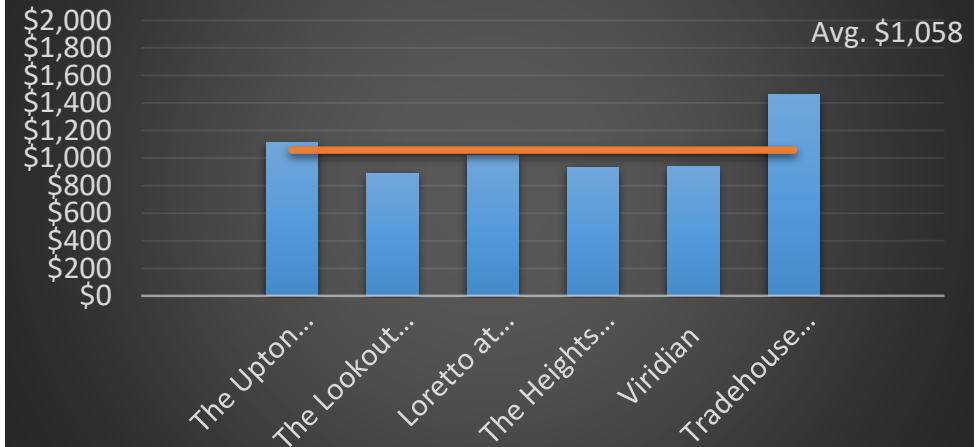


AVERAGE RENT - MULTIFAMILY

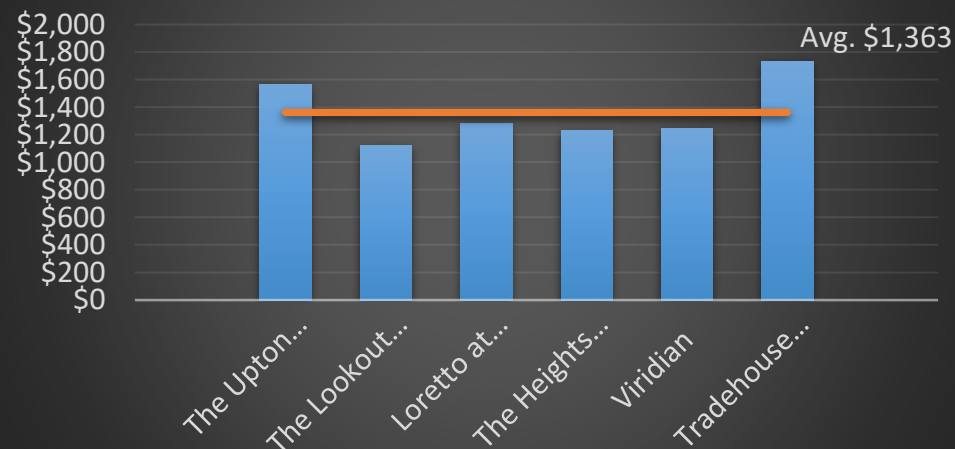
3 Bedroom



1 Bedroom



2 Bedroom



THE UPTON AT LONGHORN QUARRY

4906 Wurzbach Pkwy, San Antonio, TX, 78233



Unit Type	Units	SF	Rent	Rent/SF
1 Bdr 1 Bath	194	690-885	\$1,074-\$1,147	\$1.41
2 Bdr 2 Bath	112	1,030-1,405	\$1,510-\$1,618	\$1.28
Total/Avg.	306	945	\$1,276	\$1.35

OCCUPANCY: 93% | YEAR BUILT: 2017

THE LOOKOUT AT COMANCHE HILL

14722 Nacogdoches Rd, San Antonio, TX, 78247



Unit Type	Units	SF	Rent	Rent/SF
1 Bdr 1 Bath	90	589-734	\$868-\$910	\$1.34
2 Bdr 2 Bath	60	901-1,025	\$1,075-\$1,170	\$1.17
Total/Avg.	150	782	\$982	\$1.26

OCCUPANCY: 92% | YEAR BUILT: 2016

LORETTO AT CREEKSIDE

7319 N Loop 1604 E, Live Oak, TX, 78233



Unit Type	Units	SF	Rent	Rent/SF
1 Bdr 1 Bath	166	650-750	\$941-\$1,097	\$1.46
2 Bdr 2 Bath	138	960-1,075	\$1,234-\$1,327	\$1.26
3 Bdr 2 Bath	16	1,250	\$1,612	\$1.29
Total/Avg.	320	864	\$1,161	\$1.34

OCCUPANCY: 95% | YEAR BUILT: 2017

THE HEIGHTS AT CONVERSE

7855 Kitty Hawk, Converse, TX, 78109



Unit Type	Units	SF	Rent	Rent/SF
1 Bdr 1 Bath	100	702-748	\$904-\$965	\$1.29
2 Bdr 2 Bath	100	948-1,049	\$1,180-\$1,275	\$1.23
Total/Avg.	200	862	\$1,081	\$1.25

OCCUPANCY: 90% | YEAR BUILT: 2016

VIRIDIAN

5415 N Foster Rd, San Antonio, TX, 78244



Unit Type	Units	SF	Rent	Rent/SF
1 Bdr 1 Bath	80	613-787	\$873-\$1,003	\$1.34
2 Bdr 2 Bath	32	950-1,132	\$1,140-\$1,350	\$1.20
3 Bdr 2 Bath	8	1,320	\$1,570	\$1.19
Total/Avg.	120	832	\$1,062	\$1.28

OCCUPANCY: 51% | YEAR BUILT: 2018

NOTES

*Property in lease-up

TRADEHOUSE AT BULVERDE MARKETPLACE

17038 Bulverde Rd, San Antonio, TX, 78247



Unit Type	Units	SF	Rent	Rent/SF
1 Bdr 1 Bath	242	630-1,073	\$999-\$1,920	\$1.71
2 Bdr 2 Bath	76	1,157-1,315	\$1,562-\$1,820	\$1.37
2 Bdr 2.5 Bath	12	1,318-1,532	\$1,880-\$2,159	\$1.42
Total/Avg.	330	961	\$1,533	\$1.60

OCCUPANCY: 43% | YEAR BUILT: 2018

NOTES

*Property in lease-up

MARKET OVERVIEW



SAN ANTONIO OVERVIEW

The San Antonio metro is located in the southern portion of central Texas, covering 412 square miles and straddling the Interstate 35 Corridor, one of the fastest-growing areas in the state. The metro encompasses eight counties: Bandera, Atascosa, Kendall, Comal, Bexar, Guadalupe, Medina and Wilson. Situated only 145 miles from Nuevo Laredo, Mexico, San Antonio is an easy drive on Interstate 35 from the border and serves as a major gateway between the United States and Mexico. The area is further enhanced by an extensive transportation network that provides shipping options to domestic and international markets as well as the Eagle Ford Shale formation that runs through Atascosa and Wilson counties. San Antonio is the most populous city in the metro, housing more than 1.4 million residents.

METRO HIGHLIGHTS



STRONG POPULATION GROWTH

The metro is maintaining population growth and household formation well above the national level and generating the need for housing options.



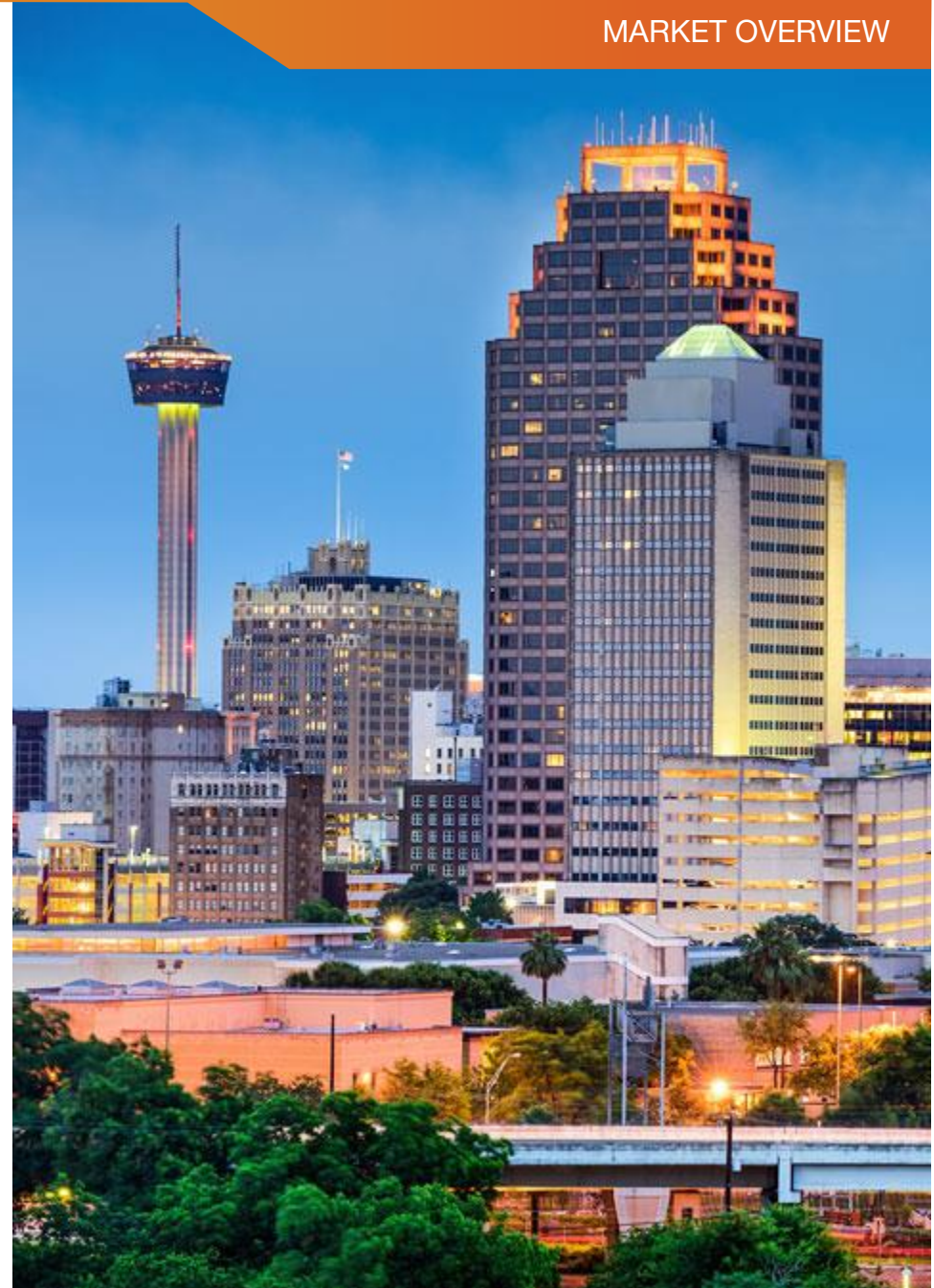
ROBUST JOB CREATION

More than 47,000 jobs are expected to be created through 2022. Many positions will be related to Eagle Ford, one of the largest oil and gas developments in the world.



LOW COST OF LIVING

More affordable home prices compared with other nearby markets and no state personal income tax contribute to a lower the cost of living.



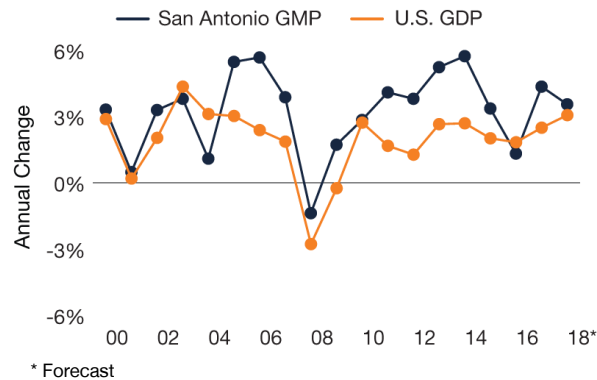
ECONOMY

- The economy is anchored by the industries of healthcare, tourism and national defense.
- The Eagle Ford Shale deposit has contributed to the diversification of jobs into the energy sector. Valero's corporate headquarters are here, as well as NuStar Energy, Halliburton, NOV, Baker-Hughes and Tesoro.
- Lackland Air Force Base, Randolph Air Force Base, Fort Sam Houston and Camp Bullis are among the many military installations located in the metro.
- An important component of the healthcare industry is South Texas Medical Center, a conglomerate of hospitals, clinics and research and higher-education facilities.

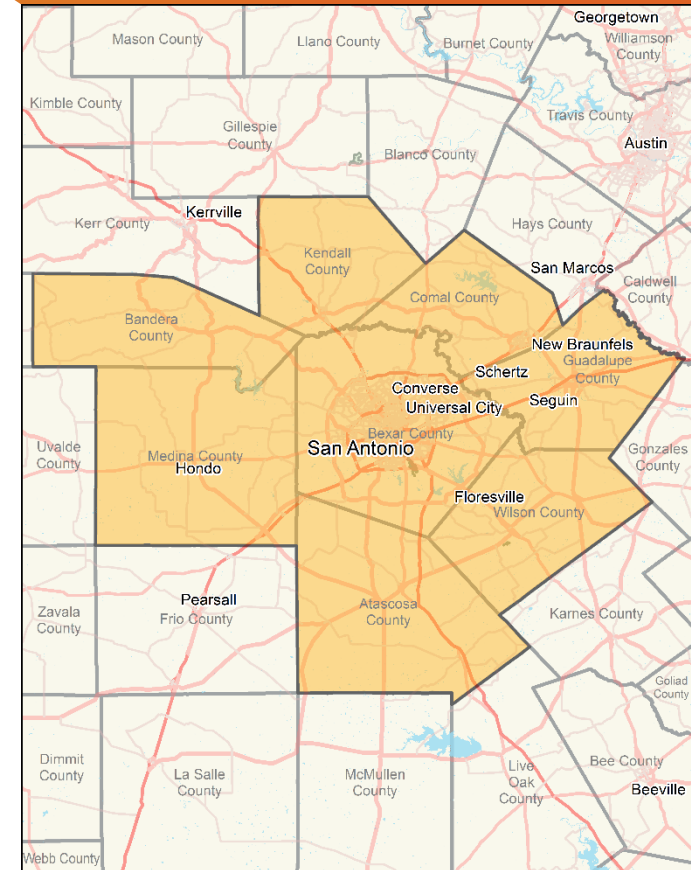
MAJOR AREA EMPLOYERS

South Texas Medical Center
USAA
Wells Fargo
Baptist Health System
Southwest Research Institute
Methodist Healthcare System
JPMorgan Chase
Christus Santa Rosa Health System
Toyota Motor Manufacturing Texas
H-E-B

Economic Growth



MARKET OVERVIEW



SHARE OF 2017 TOTAL EMPLOYMENT

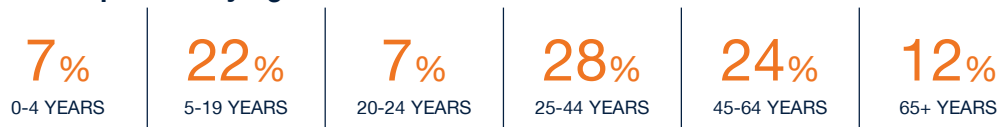




DEMOGRAPHICS

- The metro is expected to add nearly 177,500 people through 2022, resulting in the formation of roughly 88,400 households.
- A relatively youthful population contributes to a homeownership rate of 63 percent, which compares with the national rate of 64 percent.
- Roughly 26 percent of residents age 25 and older hold a bachelor's degree; of those residents, 9 percent also have earned a graduate or professional degree.

2017 Population by Age



QUALITY OF LIFE

Culture and history abounds in such places as La Villita, the Spanish Governor's Palace, San Fernando Cathedral, Jose Antonio Navarro State Historical Park and the Alamo. Tradition blends with more modern attractions, such as the River Walk, a 2.5-mile stretch of parks, cafes, nightclubs and hotels. New upscale apartments are being built along the walk, bringing more residents into the city. The metro is also home to numerous sporting events and teams, including the NBA's San Antonio Spurs, the WNBA's San Antonio Silver Stars, the AHL's Rampage and AA baseball's Missions. Arena football is offered by the San Antonio Talons, and the University of Texas San Antonio Roadrunners play NCAA Division 1 football. Art enthusiasts can visit many museums and cultural centers in San Antonio.

* Forecast

Sources: Marcus & Millichap Research Services; BLS; Bureau of Economic Analysis; Experian; Fortune; Moody's Analytics; U.S. Census Bureau



SPORTS



EDUCATION



ARTS & ENTERTAINMENT



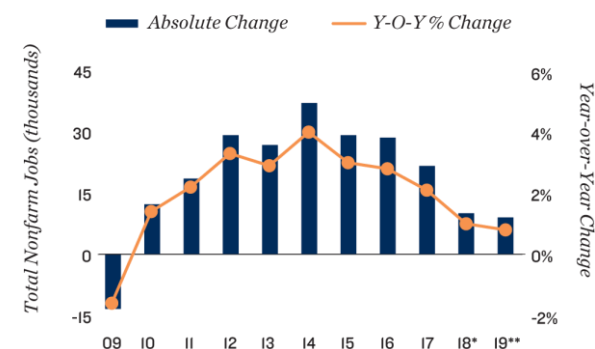
SAN ANTONIO METRO AREA

Downtown Revitalization Breathes New Life Into San Antonio Apartment Market

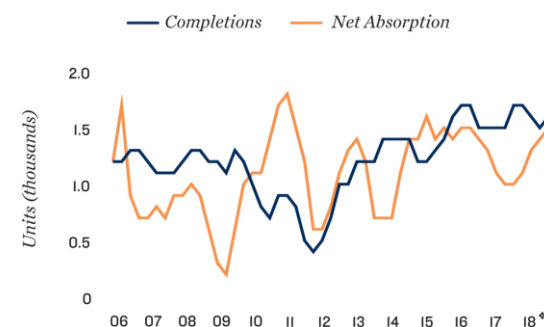
Supply growth migrates to downtown amid revitalization. City leaders are focusing on bringing jobs back to downtown San Antonio. Several companies have announced growth plans in the city's core, and the University of Texas at San Antonio is planning a \$90 million expansion that will form a new tech corridor in the city. Several mixed-use projects are planned or already underway nearby, and apartment deliveries are on track to rise in the area during 2019. Nearly 1,400 units are slated for completion downtown this year, compared with approximately 2,600 apartments that have been added to stock in this area over the past five years. The planning pipeline is likely to expand, with thousands of students and workers anticipated to move nearby as these projects come to fruition. New apartment development has been concentrated outside the core along Loop 1604 from SeaWorld San Antonio to Interstate 10 over the past five years, but tapering completions will lead to an overall decline in stock additions this year and a second consecutive year of tightening vacancy.

Investors targeting properties closer to the core for upside potential. Compared with other markets across the country, the growth and revitalization of San Antonio's downtown area is occurring much later in this economic cycle. As a result, capital is flowing into the city as several pivotal developments are on track to reshape the core and a growing buyer pool is strengthening competition for apartment assets. Investors in search of value-add properties are scouring the areas just north of downtown for opportunities as demographics begin to shift. Class B and Class C properties are in high demand as vacancy has declined substantially over the past few years, with cap rates averaging in the low-6 percent area. Complexes in need of capital improvements will yield stronger ROIs as these renovated properties allow for sizable rent increases.

Employment Trends



Quarterly Completions vs. Absorption*



* Estimate; ** Forecast; † Through 3Q; ‡ Trailing 12-month average
Sources: Marcus & Millichap Research Services; BLS; CoStar Group, Inc.

Created on February 2019

POPULATION	1 Miles	3 Miles	5 Miles
■ 2023 Projection			
Total Population	6,883	52,291	88,555
■ 2018 Estimate			
Total Population	5,965	43,108	76,294
■ 2010 Census			
Total Population	3,944	34,418	61,452
■ 2000 Census			
Total Population	795	13,920	35,445
■ Daytime Population			
2018 Estimate	3,841	31,771	69,432
HOUSEHOLDS	1 Miles	3 Miles	5 Miles
■ 2023 Projection			
Total Households	2,325	18,271	31,887
■ 2018 Estimate			
Total Households	1,986	14,913	27,092
Average (Mean) Household Size	3.04	2.88	2.80
■ 2010 Census			
Total Households	1,302	11,783	21,596
■ 2000 Census			
Total Households	286	5,023	12,509
Growth 2015-2020	17.07%	22.52%	17.70%
HOUSING UNITS	1 Miles	3 Miles	5 Miles
■ Occupied Units			
2023 Projection	2,325	18,271	31,887
2018 Estimate	2,000	15,078	27,486
Owner Occupied	1,617	12,017	20,366
Renter Occupied	369	2,896	6,726
Vacant	14	165	394
■ Persons In Units			
2018 Estimate Total Occupied Units	1,986	14,913	27,092
1 Person Units	17.88%	18.33%	20.15%
2 Person Units	25.98%	30.34%	31.25%
3 Person Units	17.37%	18.17%	17.91%
4 Person Units	21.35%	18.97%	17.64%
5 Person Units	11.48%	9.33%	8.43%
6+ Person Units	5.94%	4.86%	4.61%

HOUSEHOLDS BY INCOME	1 Miles	3 Miles	5 Miles
■ 2018 Estimate			
\$200,000 or More	3.97%	4.39%	4.02%
\$150,000 - \$199,000	10.12%	9.21%	8.00%
\$100,000 - \$149,000	27.94%	27.04%	24.03%
\$75,000 - \$99,999	19.30%	19.18%	18.00%
\$50,000 - \$74,999	20.61%	19.08%	19.22%
\$35,000 - \$49,999	7.85%	9.38%	11.21%
\$25,000 - \$34,999	3.15%	3.81%	5.48%
\$15,000 - \$24,999	3.32%	4.17%	5.23%
Under \$15,000	3.74%	3.73%	4.81%
Average Household Income	\$103,354	\$101,899	\$95,162
Median Household Income	\$89,413	\$87,466	\$80,344
Per Capita Income	\$34,409	\$35,292	\$33,840
POPULATION PROFILE	1 Miles	3 Miles	5 Miles
■ Population By Age			
2018 Estimate Total Population	5,965	43,108	76,294
Under 20	35.36%	31.08%	29.77%
20 to 34 Years	19.20%	17.77%	18.69%
35 to 39 Years	9.13%	7.78%	7.42%
40 to 49 Years	16.34%	16.05%	15.41%
50 to 64 Years	12.67%	16.79%	17.50%
Age 65+	7.31%	10.53%	11.21%
Median Age	32.23	35.77	36.07
■ Population 25+ by Education Level			
2018 Estimate Population Age 25+	3,500	27,181	48,932
Elementary (0-8)	1.07%	1.42%	2.15%
Some High School (9-11)	3.60%	3.28%	3.95%
High School Graduate (12)	17.71%	20.09%	23.07%
Some College (13-15)	25.38%	25.31%	24.82%
Associate Degree Only	12.42%	12.45%	11.76%
Bachelors Degree Only	24.49%	22.76%	20.71%
Graduate Degree	14.93%	14.21%	12.72%
■ Population by Gender			
2018 Estimate Total Population	5,965	43,108	76,294
Male Population	49.17%	48.98%	49.11%
Female Population	50.83%	51.02%	50.89%

Source: © 2018 Experian



Population

In 2018, the population in your selected geography is 5,965. The population has changed by 650.31% since 2000. It is estimated that the population in your area will be 6,883.00 five years from now, which represents a change of 15.39% from the current year. The current population is 49.17% male and 50.83% female. The median age of the population in your area is 32.23, compare this to the US average which is 37.95. The population density in your area is 1,900.36 people per square mile.



Households

There are currently 1,986 households in your selected geography. The number of households has changed by 594.41% since 2000. It is estimated that the number of households in your area will be 2,325 five years from now, which represents a change of 17.07% from the current year. The average household size in your area is 3.04 persons.



Income

In 2018, the median household income for your selected geography is \$89,413, compare this to the US average which is currently \$58,754. The median household income for your area has changed by 106.95% since 2000. It is estimated that the median household income in your area will be \$102,308 five years from now, which represents a change of 14.42% from the current year.

The current year per capita income in your area is \$34,409, compare this to the US average, which is \$32,356. The current year average household income in your area is \$103,354, compare this to the US average which is \$84,609.



Race and Ethnicity

The current year racial makeup of your selected area is as follows: 66.45% White, 14.30% Black, 0.53% Native American and 3.57% Asian/Pacific Islander. Compare these to US averages which are: 70.20% White, 12.89% Black, 0.19% Native American and 5.59% Asian/Pacific Islander. People of Hispanic origin are counted independently of race.

People of Hispanic origin make up 32.12% of the current year population in your selected area. Compare this to the US average of 18.01%.



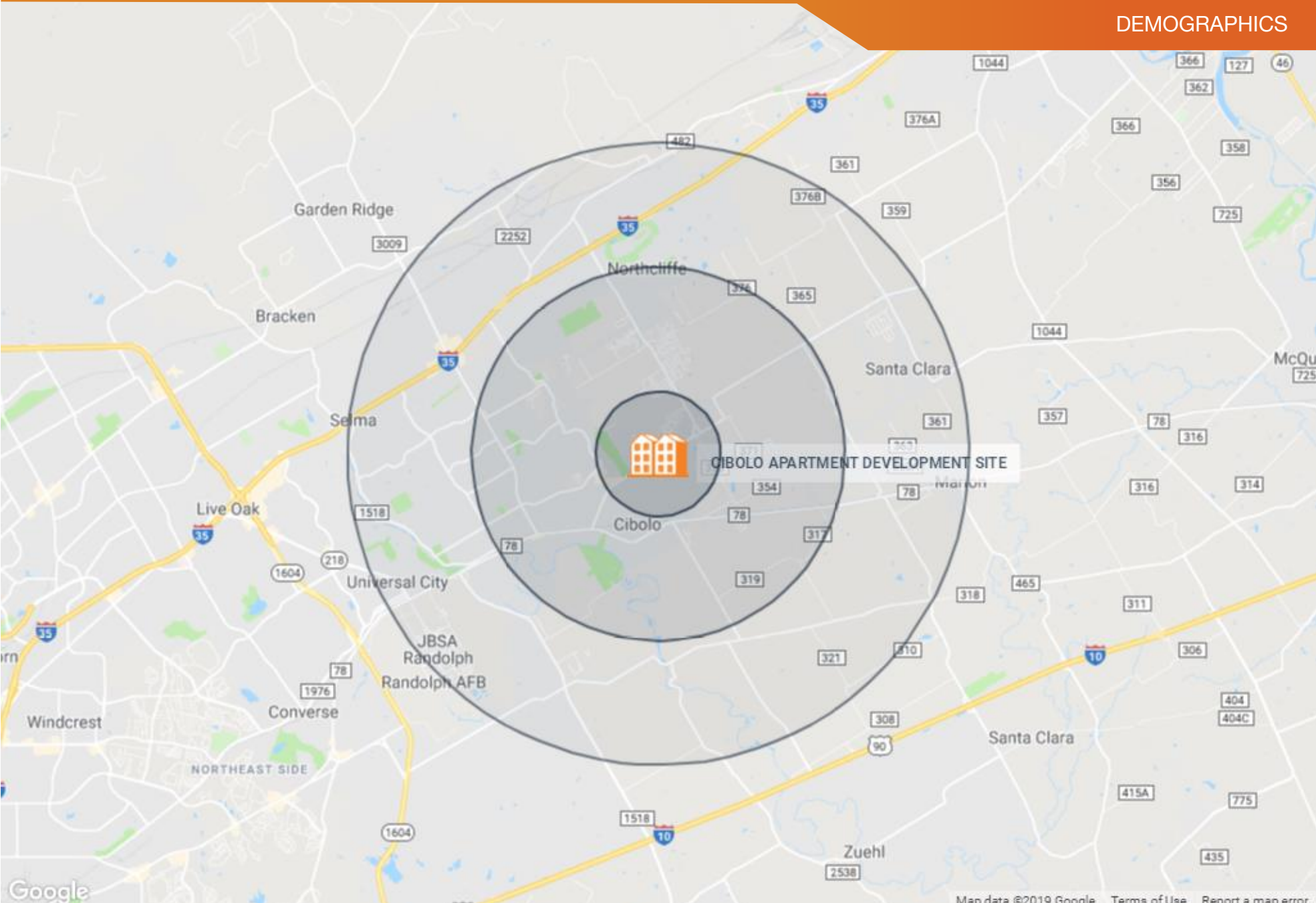
Housing

The median housing value in your area was \$218,707 in 2018, compare this to the US average of \$201,842. In 2000, there were 221 owner occupied housing units in your area and there were 65 renter occupied housing units in your area. The median rent at the time was \$430.



Employment

In 2018, there are 499 employees in your selected area, this is also known as the daytime population. The 2000 Census revealed that 55.61% of employees are employed in white-collar occupations in this geography, and 41.40% are employed in blue-collar occupations. In 2018, unemployment in this area is 2.53%. In 2000, the average time traveled to work was 29.00 minutes.



**Steele High School**

The development site is located directly across the street from Byron P. Steele II High School. It has approximately 2,231 students in grades 9-12 with a student-teacher ratio of 18 to 1. Steele High School is highly rated as one of the top public schools in the San Antonio Area.

PRESENTED BY

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